BDRY

BREAKWAVE ADVISORS

Dry Bulk Shipping

August 20, 2024

Breakwave Dry Futures Index:	1,972	Baltic Dry Index (spot):	1,708	Short-term Indicators:	
↓ 30D: -4.8%		↓ 30D: -10.2%		Momentum:	Neutral
↑ YTD: 31.5%		↓ YTD: -18.4%		Sentiment:	Neutral
↑ YOY: 39.0%		↑ YOY: 38.1%		Fundamentals:	**Negative**

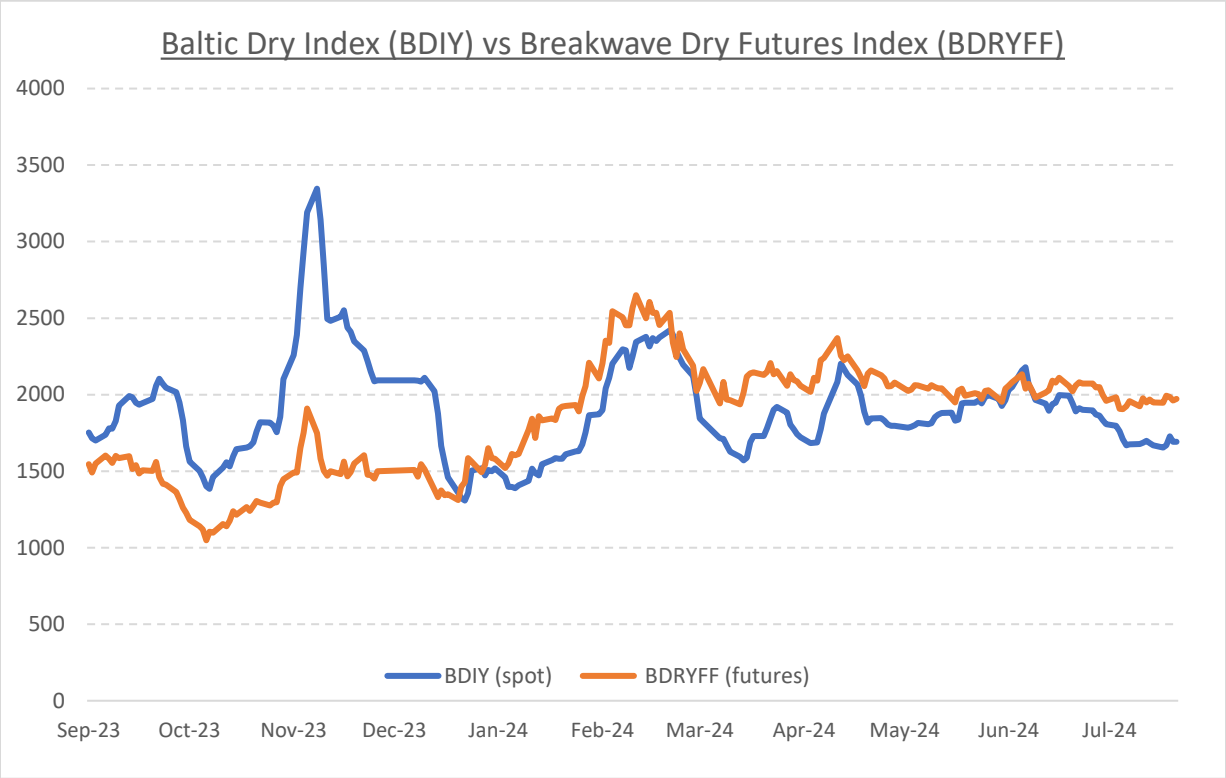
Bi-Weekly Report

- **Steady as She Goes for Dry Bulk While Summer Slowdown Takes a Toll on Volatility –** It has been **particularly calm** in the dry bulk market, with **freight futures volatility** hitting **multi-year lows** and physical activity absent of the jumps and falls the shipping market is accustomed to. Although it seems freight prices are slowly drifting lower, in general, dry bulk spot rates have stabilized at particularly strong levels compared to history for this time of the year. Looking forward though, fundamentals are becoming less supportive: China's **steel industry** remains **weak**, iron ore **inventories** are still **high**, and **coal** demand for power generation in the country is getting **less competitive** versus a very strong year for hydroelectric generation. On the other hand, **September** has historically been a **relatively robust month** for Capesizes, something that is also evident by the contango in the futures market, but once again, it is difficult to see the urgency by traders of securing iron ore cargoes when the state of the core steel industry is going through one of the roughest periods in recent memory. We **remain constructive** for an uptick in rates in the near term, **but** are **very well aware of the bearish fundamentals**, that absent the generally supportive low orderbook would be in much worse shape, but the tight fleet supply could very well be the key to a turnaround if demand improves, something that is mainly subject to strong **fiscal stimulus from China**.

- **Iron Ore Back Below $100/mt as Oversupply Weighs on Outlook –** As we have been regularly discussing, the iron ore market **is oversupplied** and although prices have tried to remain supportive on the back of a global euphoria around risk assets, the **bearish fundamentals** have now become difficult to **ignore**. Iron ore prices have now decisively fallen into the double-digit territory **but remain above the breakeven levels** of most major miners. Consequently, more is needed for the market to balance, but more importantly, more time is required to work off the excess inventories in China that has accumulated over the last year or so. Whether Chinese steel production is now past its peak or not is up for debate, but we struggle to come up with a positive outlook for steel demand in the near term. As a result, we continue to see **weakness in iron ore prices**, although **now** such a forecast has become **the base case** in the investment community, and thus, further declines might not be as smooth as they have been in the past. Finally, with lower prices come also tighter freight margins as miners fight hard for every single cent, and thus we anticipate some **lower volatility for freight rates** although winter weather will definitely be the primary driver of price development once again.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by increasing bulk commodity demand and a slower fleet growth as a result of a relatively low orderbook.

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.



Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	614mt	-2.0%
China Steel Inventories	5.5mt	-4.6%
China Iron Ore Inventories	150mt	28.0%
China Iron Ore Imports	714mt	6.6%
China Coal Imports	296mt	13.2%
China Soybean Imports	58mt	-6.4%
Brazil Iron Ore Exports	218mt	8.8%
Australia Iron Ore Exports	455mt	2.8%

Supply		
Dry Bulk Fleet	1016dwt	3.0%

Freight Rates		
Baltic Dry Index, Average	1,836	60.8%
Capesize Spot Rates, Average	23,526	87.4%
Panamax Spot rates, Average	14,350	42.9%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg and Breakwave Advisors

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